2. Post Office Recurring Deposit Scheme	• Any individual (a single adult or two adults jointly) can open an account. • Minimum: Rs.10/- and multiples of Rs.5/- thereafter. Maximum: No limit. • Maturity period: 5 years. • Rate of interest 7.1% per annum with effect from 01.07.2017 • One withdrawal up to 50% of the balance allowed after one year. • Premature closure allowed after three years. • Interest earned is deductible under Section 80L of I.T. Act.
3. National Saving Certificate	• These can be purchased by an adult for himself or on behalf of a minor, jointly by two adults, a minor and a trust. • Certificates in denominations of ₹ 100/-, 500/-, 1000/-, 5000/-, and 10,000/- may be purchased from any post office, either directly or through authorised agents. • Minimum ₹ 100/- can be invested. There is no limit on amount of investment. • Period of maturity is 6 years. • Interest rate is 7.8%* per annum, (w.e.f 01-07-2017). • Deposit qualifies for tax rebate. • Premature withdrawals are not allowed. • Certificates can be kept as collateral security to get loan from banks.



Case study 1

Kumar is a Private company employee. He gets a salary of Rs.10000/- per month. His Salary is spent in meeting out the various needs of the family like food house rent Education of the children clothing etc., Kumar's wife keeps asides small amount of money from his salary every month. Kumar's salary is income and the money spent on various items is his expenditure.

What is the amount kept aside by Kumar's wife called?

What is the need of keeping aside this money?

What can be done with this money?

Fulfilling needs of the family meeting emergencies, maintaining a good standard of living

She has to deposit a fixed amount in each month.

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